



Customer Service Provided

Enhanced customer service also adds to the cost but it increases customer satisfaction, thus increasing the customer's willingness to pay.

The basis of competition determines whether the intensity of competition will benefit or hurt the industry. A favorable basis of competition can be a boom for the industry.

The intensity of competition within an industry determines the impact that competition will have on the overall industry profitability. Average firms in a good industry might be at par with good firms in an average industry. Industry profitability keeps changing as firms deploy different strategies and industries evolve. The role of the entrepreneur is to find out industries where the average profitability is high. The idea is to evaluate any industry using these 5 forces and see who gets to keep most of the profits.

Porter's Five Forces for Logistics Industry

Supplier Power

Cost of Substitution	No Substitutes
Number of Suppliers	Many
Availability of Regular Supply	Easy
Availability of Substitutes	No Substitutes
Dependency of the industry on Suppliers	Moderate
Do Suppliers threaten vertical integration?	No
Importance of volume to Suppliers	Low
Payment Power with Suppliers	Cash Payment